

Beside this National Family Benefit Scheme (NFBS) entitles a BPL household one time assistance of Rs. 10000/- upon the death of the primary bread earner aged between 18 and 64 years.

23.6 EXISTING PROVISIONS: PROBLEMS AND ISSUES

There are many problems and issues in the existing schemes.

- i) There are many agencies, which are administering authorities. It causes high compliance costs to companies as well as beneficiaries. In some cases, there is multiplicity of policies and laws. Most of the population particularly belonging to unorganised/informal sector is not covered. Beside this there is no road map for inclusion of excluded sectors in future under the same umbrella.
- ii) In Social assistance programmes there is very less involvement of workers in decision making.
- iii) Social security is not right based. It can be compromised without any compensation to the workers.
- iv) Migration of unorganised sector workers lead to loss of contribution made by them which ultimately effects their benefits.
- v) There is unsystematic identification and registration system of unorganised / informal sector workers.

23.7 THE CODE ON SOCIAL SECURITY, 2019

Government felt the need for universal Social Security (SS) Legislation. It was recommended by 2nd National Commission of Labour (2002). Provision of adequate social security for the entire workforce regardless of the nature of their employment has also been accepted as a fundamental element towards achievement of Goal 8 (Decent work and economic growth) of the 2030 Sustainable Development Agenda adopted at the UN Summit held in September 2015. Keeping in view the need of universal SS Legislation and to overcome the problems mentioned above in section 23.6, a Bill to amend and consolidate the laws relating to social security of the workers and the matters connected therewith or incidental thereto was presented in the Parliament in the year 2019. It would extend to the whole of India. This Act would be called the Code on Social Security, 2019. This has been sent to the Select Committee of the Parliament.

It is proposed that Acts given below relating to social security would be subsumed in the proposed Code on Social Security:

- ESI Act
- EPF and MP Act
- Payment of Gratuity Act
- Maternity Benefit Act

- Employees Compensation Act
- Unorganised Workers Social Security Act
- Existing Labour welfare Fund and Cess Acts – Construction workers, Beedi workers, Cine workers, Mine workers

Check Your Progress 2

- 1) What is the difference between social insurance and social assistance as approaches to social security?

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- 2) State the legislation which provides security against risk of unemployment. Highlight its important features.

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- 3) What types of security is provided under Atal Pension Yojana?

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- 4) State the features of National Social Assistance Programme.

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23.8 LET US SUM UP

Social Security is one of the important securities for a person who is in need of security for meeting a short- term need or a long-term need. With the modernisation/urbanisation and with the break-up of joint family system the role of institutions in providing social security has increased day by day. The

private institutions have their own limitations. Hence, the need for public institutions in getting out people from the trap of poverty and insecurity is critical. Old age is important. Again, in the countries like India where about 92 per cent of workers work in unorganised/informal sector they do not enjoy the benefits of social security, fail to demand for social security like minimum wage rate, accidental benefit and so on. It is also seen in various studies that the awareness about the provision of various schemes on social security, particularly in rural areas, is very low. In view of the foregoing facts, it is encouraging to note that the past decade witnessed an unprecedented revival in the provisioning of social security in India. Some of these interventions and initiatives though require further refinements and proper enforcement, based on informed discussions at the national and international level. A welcome aspect of these new initiatives is the visible efforts of the government towards designing and implementing right-based social security systems, along with enabling governance structures, which *inter alia* seek more participation from all other stakeholders, including the targeted beneficiaries themselves.

23.9 TERM-END EXERCISES

- 1) What is the distinction between social security, social protection, Social Protection Floor? Why social security has become the need of hour? Which constitutional provisions provide force for enactment of different social security measures?
- 2) Distinguish between social assistance and social insurance programmes of social security.
- 3) State the objectives of MGNREGA as a measure of employment security.
- 4) What is the role Pension Fund Regulatory Development Authority (PFRDA) in India? What are important schemes administered by PFRDA?
- 5) What do you understand by Social Security Code in India? What are its advantages?

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23.11 KEY WORDS

- BPL and APL Household** : Below Poverty Line is an economic benchmark used by Government of India to identify the disadvantaged households. It is determined using various parameters which vary from state to state and within states. The present criteria are based on a survey conducted in 2002 by taking 13 socio-economic variables. The households above the benchmark are known as Above Poverty Line (APL) households.
- Defined Benefit (DB)** : In a defined benefit (DB) pension scheme, the pension formula is defined in advance. Often benefits depend on years of employment and salary over some period, such as the final year or the average of last ten years. The rest of society bears the risk that the economy will not perform as well as expected or that people will live longer than expected. Protecting the old people from these risks, because of their less ability to adjust and recover from these risks as compared to their younger counterparts, is considered as one of the big advantages of DB plans (World Bank, 1994).
- Defined Contribution (DC)** : In a defined contribution (DC) scheme, annual contributions are defined in advance, but the benefits depend on the return on the length of contribution and the investments made. In this case there is considerable uncertainty about future rates of return. Investment returns mainly depend on the economic health of the country and that of other countries in the case of foreign investments.

**International
Labour
Organisation (ILO)**

: The International Labour Organisation (ILO) was founded in 1919, in the wake of a destructive war. The ILO became the first specialised agency of the UN in 1946. The ILO is the international organisation responsible for drawing up and overseeing international labour standards. The ILO shape policies and programmes promoting Decent Work for all with the involvement of representatives of governments, employers and workers. The main aims of the ILO are to promote rights at work, encourage decent employment opportunities, enhance social protection and strengthen dialogue on work-related issues.

**Notional Defined
Contribution
(NDC)**

: The structure of a notional defined contribution (NDC) scheme is very similar to that of Defined Contribution scheme. The main difference is that the interest rate applied is not the market rate of interest but some other indicator, such as the rate of growth of GDP, or the rate of growth of wages. The scheme is generally mandatory and managed by the Government (RBI, 2003).

23.12 ANSWERS OR HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) Social security refers to the programmes aiming to help the person facing threats of economic uncertainties in the event of unemployment, illness, disability, death and old age.
- 2) See Section 23.2
- 3) See Section 23.2
- 4) Social Protection floors recommendation, 2012 by ILO calling upon the states to achieve universal coverage with at least minimum levels of protection through implementation of social protection floors.

Check Your Progress 2

- 1) See Section 23.4
- 2) See Sub-Section 23.5.1
- 3) See Sub-Section 23.5.1
- 4) See Sub-Section 23.5.2

UNIT 24 REGIONAL DISPARITY IN INDIA: POLICY IMPLICATIONS

Structure

- 24.0 Objectives
- 24.1 Introduction
- 24.2 Interpersonal and Regional Disparity: Concept and Theory
- 24.3 Regional Disparity and Domestic Product
- 24.4 Agricultural Development and Regional Disparity
- 24.5 Industrial Development and Regional Disparity
- 24.6 Infrastructural Development and Regional Disparity
 - 24.6.1 Social Infrastructure
 - 24.6.2 Physical Infrastructure
- 24.7 Human Development and Regional Disparity
 - 24.7.1 Causes of Regional Disparities
- 24.8 Measures to Remove Regional Disparities
 - 24.8.1 Major Limitations
- 24.9 Way Forward
- 24.10 Let Us Sum Up
- 24.11 Term-end Exercises
- 24.12 Key Words
- 24.13 References
- 24.14 Answer or Hints to Check Your Progress Exercises
- Appendix 24.1

24.0 OBJECTIVES

After going through this unit, you will be able to:

- Know the meaning of regional disparity;
- discuss the basic theoretical framework relating to regional disparity;
- analyse regional disparity in terms of macroeconomics aggregates like growth rate, per capita GDP, sectoral contribution in GDP, etc.;
- examine the regional disparity in agriculture;
- identify regional disparity in infrastructural development; and
- review the regional disparity in human development.

24.1 INTRODUCTION

In India, the inter-state/regional disparity has been a major challenge for planners and policymakers. Despite plethora of development programmes,

regional disparity has persisted over time. There has been a huge gap in terms of availability of facilities between active and vibrant regions and hinterland during the pre-independence period. This manifests in unequal level of economic and human development. In India not much theoretical work has been done relating to regional disparity. But many empirical works have been done by researchers on various development issues. Prof. Mathur (1987) explains the regional disparity in terms of regional growth. Most of the empirical studies relating to regional disparity in income and consumption reflects a growing trend of disparity. Das and Barua (1996) opined that Indian economy continues to grow at the cost of widening regional inequality. Dreze and Sen (1995) opined that there has been a wide variation in regional development resulting in remarkable internal diversities. Dutt and Ravallion expressed their view that long term progress in rising rural living has been diverse across Indian states. Likewise, the National Human Development Report 2001 reveals a considerable difference in human development across Indian states during 1981-2001. The report reflects that the human development index of the states like Bihar, UP, MP, Rajasthan and Odisha has been extremely low and about half of Kerala's figure. Against this background, this unit examines the regional disparity in India, in terms of macroeconomic aggregates, infrastructural development, agricultural development, industrial development and human development outcomes.

24.2 INTERPERSONAL AND REGIONAL DISPARITY: CONCEPT AND THEORY

The term 'disparity' is very frequently used in the arena of social science research. This term has evolved from Latin word 'disparitas' which means 'divided'. Hence the term disparity literally means inequality or disproportion in particular phenomena. The American Heritage Dictionary defined disparity as inequality or difference, as in age, rank, wages, etc. The regional disparity means the disproportionate performance of inter or intra geographic region or sectors in different economic and non-economic indicators. Karin Vorauer (2007) defined regional disparity as 'Regional disparities we understand deviations from any conceptional reference division of characters taken as relevant, in association with different spatial benchmark levels (region borders)'. Alois Kutscherauer et al. (2010) defined the term regional disparity as 'divergence or inequality of characters, phenomena or processes having specific territorial allocation (can be allocated in defined territorial structure) and occurring at least in two entities of the territorial structure'.

Thus, regional disparity refers to a situation where different indicators such as per capita income, consumption level, food availability, agricultural and industrial development, infrastructural development are not similar among regions. The problem of regional development is mostly universal in nature. However, its intensity differs in different countries (developed/developing). Almost all countries face regional disparity during their process of development.

There is general agreement for an inverted U-shaped curve of regional disparities with growth. The development theories put forward by the regional experts like Simon Kuznets (1963), Hirschman (1958), Mera (1965), opined for a regional disparity during the socio-political development and modernisation. According to these theories, urban primacy, socio-spatial and individual inequalities increase during the initial period of development, but reduce over time with advancement in the stage of development. Myrdal and Hirschman come up with the backwash effect vs. spread effect and polarisation vis-a-vis trickled down effect. Myrdal's concept of multiplier-accelerator mechanism produces increasing returns in favoured regions. Appearance of development differences creates a chain of cumulative expansion in favoured regions. Myrdal defines this as a backwash effect, on other regions and as a result development differences persist. In the context of backwash effect, policies must be designed to reduce the backwash effect (what Hirschman called polarisation effect of interregional development). He argued for a good policy framework that strengthens the trickledown effect. The trickledown effect favours the development of backward regions. Myrdal called such effect a spread effect. The trickledown effect or spread effect consists of the increased demand of backward area products and the diffusion of technology and knowledge. Myrdal (1957) argues that the backwash effect is weaker than spread effect and if the backwash effect is to be narrowed, the state must come up with effective regional policies. Lloyd (1990) also supported this view. Hence the difference increases over time unless countervailing measures are taken to reduce the problem.

24.3 REGIONAL DISPARITY AND DOMESTIC PRODUCT

During last seven decades Indian economy has been growing at an annual growth rate of about 5.72 per cent. From time to time the growth has been fluctuating and the highest annual growth rate registered is 9.6 per cent in the year 1988 and the lowest was -5.24 in 1979. The structural share of Gross Domestic Product itself shows a wide variation over time across states.

Some of the sub-sectors have exhibited very wide variations in the annual growth rates. Among these, agriculture and allied activities have generally been subject to considerable fluctuations. Mining and Quarrying also falls in the same category. Manufacturing has been steadier. Growth in service sector, on the contrary, has shown a continuous rise.

From the perspective of distribution of national product, it is useful to analyse data relating to trends in per capita net state domestic product. The relevant data is summarised in Table 24.1 below. The data reflects trend of gap in per capita income in different time periods in India as well as the income gap between India and other states and among different states.

Table 24.1 provides per capita NSDP from 1993-94 to 2018-19 at different base prices for both forward and backward states. Among the major states, the state registering the highest per capita NSDP in 2018-19 was Haryana (Rs.169409) followed by Uttarakhand (Rs.155151) and Gujarat (Rs.153495).

On the other hand, states showing the lowest per capita NSDP were Bihar (Rs.28668) and Uttar Pradesh (Rs. 44421).

The states showing the highest growth rate of per capita NSDP between 2011-12 and 2018-19 were Gujarat (8.4 per cent) followed by Karnataka (7.9 percent) and states registering the lowest growth rate during the same period were Jammu and Kashmir (3 percent), Madhya Pradesh (3.4per cent) and Arunachal Pradesh 3.5 per cent).

Table 24.1: Per Capita Net State Domestic Product and its Growth Rate

State / Union Territory	(Base: 1993-94)			(Base : 1999-2000)			(Base: 2004-05)			(Base: 2011-12)		
	1993-94	1999-00	Growth	1999-00	2004-05	Growth	2004-05	2011-12	Growth	2011-12	2018-19	Growth
Andhra Pradesh	7416	9445	4.1	15427	19963	5.3	25959	38556	5.8	69000	107241	6.5
Arunachal Pradesh	8733	8890	0.3	13990	19339	6.7	26721	35527	4.2	73068	93191	3.5
Assam	5715	5785	0.2	12282	13946	2.6	16782	21741	3.8	41142	60695	5.7
Bihar	3037	3282	1.3	5786	6772	3.2	7914	13149	7.5	21750	28668	4.0
Jharkhand	5897	7238	3.5	11549	12869	2.2	18510	25265	4.5	41254	54982	4.2
Gujarat	9796	13298	5.2	18864	23346	4.4	32021	56634	8.5	87481	153495	8.4
Haryana	11079	13308	3.1	23222	30690	5.7	37972	61716	7.2	106085	169409	6.9
Himachal Pradesh	7870	11051	5.8	20806	26244	4.8	33348	49203	5.7	87721	139469	6.8
Jammu & Kashmir	6543	7384	2	13816	15414	2.2	21734	28790	4.1	53173	65178	3.0
Karnataka	7838	10912	5.7	17502	19840	2.5	26882	41492	6.4	90263	153276	7.9
Kerala	7983	10430	4.6	19461	25122	5.2	32351	52808	7.3	97912	148078	6.1
Madhya Pradesh	6584	8248	3.8	12384	12032	-0.6	15442	23272	6.0	38497	56498	5.6
Chhattisgarh	6539	6692	0.4	11629	14070	3.9	18559	27163	5.6	55177	69500	3.4
Maharashtra	12183	15257	3.8	23011	26603	2.9	36077	61276	7.9	99597	147450	5.8
Odisha	4896	5742	2.7	10622	13311	4.6	17650	24542	4.8	48499	76417	6.7
Punjab	12710	14809	2.6	25631	27905	1.7	33103	46325	4.9	85577	115882	4.4
Rajasthan	6182	8555	5.6	13619	14908	1.8	18565	29612	6.9	57192	78570	4.6
Tamil Nadu	8955	12167	5.2	19432	22975	3.4	30062	57093	9.6	93112	142941	6.3
Uttar Pradesh	5066	5675	1.9	9749	10421	1.3	12950	18014	4.8	32002	44421	4.8
Uttarakhand	6896	7256	0.9	13516	19524	7.6	24726	52606	11.4	100305	155151	6.4
West Bengal	6756	9320	5.5	15888	19367	4.0	22649	32164	5.1	51543	67300	3.9
All-India	7690	10071	4.6	15881	19331	4.0	24143	38048	6.7	63462	92565	5.5

Source: <https://m.rbi.org.in/Scripts/AnnualPublications.aspx?head=Handbook+of+Statistics+on+Indian+States>

Punjab had highest per capita income in 1993-94 but in 1999-00 Maharashtra was at the top. Odisha had the lowest per capita income in 1993-94, but in 1999-00 Bihar had recorded the lowest per capital income. During the period 1993-94 and 1999-00 the state Himachal Pradesh registered the highest growth rate of 5.8 per cent.

During 1999-00 and 2004-05 Uttarakhand registered the highest growth rate of 5.8 per cent per annum.

Overall the states registering high Per Capita Income (PCI) over the period are Punjab, Haryana and Karnataka whereas the states usually in the lowest PCI are Bihar, Jharkhand and Uttar Pradesh.

Figure 24.1 shows the gap in per capita net state domestic product between the richer and poorer states. Bihar has been taken as a poorer state whereas Punjab, Maharashtra and Haryana are considered representing developed states. We have examined the ratio of NSDP of the three developed states with the representative backward state Bihar. The higher the ratio indicates the higher disparity between the states and vis-a-versa.

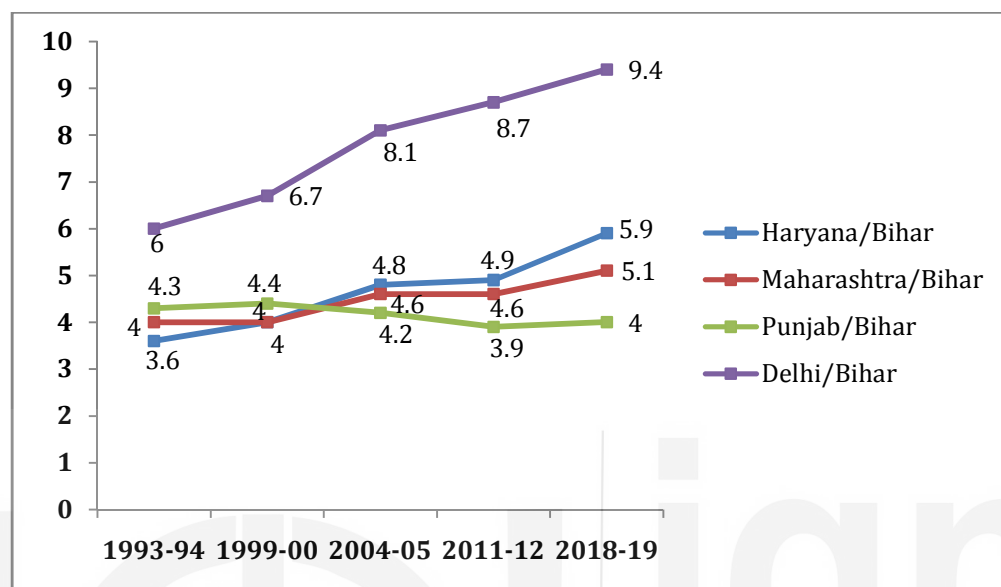


Fig. 24.1: Ratio of Per capita Net State Domestic Product of Bihar with Delhi, Punjab, Maharashtra and Haryana

Source: MOSPI as downloaded

from <https://m.rbi.org.in/Scripts/AnnualPublications.aspx?head=Handbook+of+Statistics+on+Indian+States>

The graph clearly depicts that the ratio of per capita NSDP between Delhi and Bihar is 9.4 in 2018-19. This means that Bihar's per capita NSDP is one-ninth of Delhi. The same trend is observed in other three states also.

Check Your Progress 1

- 1) State the concept of Regional Disparity.

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- 2) What is the difference between backwash effect and spread effect?

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